From better fiscal headroom to surprise income tax hikes, this is how UK Chancellor John Healey's first budget could surprise investors



James Smith

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Higher debt interest costs look set to drive the level of 'fiscal headroom' from £24bn in March to £10bn. There's a growing sense that Chancellor John Healey would like to get this up to £15bn or higher. The government is set to modestly increase spending on the cost of living, though the total intervention is unlikely to meaningfully top £5bn and it's likely to be mostly billed as temporary to avoid counting against the main fiscal rule. We expect an increase in capital spending of roughly £10bn/year, bearing in mind this is exempt from the fiscal rule dictating that the current budget must be in surplus after five years. To rebuild headroom

against that rule, we expect £5-6bn of tax hikes, likely via a higher Bank Surcharge and possibly broadening the National Insurance tax base.

In short, we don't expect the budget to deliver a material stimulus (or add materially to the already-planned fiscal consolidation). The impact on the Bank of England, which is poised to hike rates in November, is likely to be fairly minimal.

But all chancellors like to keep a rabbit in their hat – and what follows are five ways it could surprise us.

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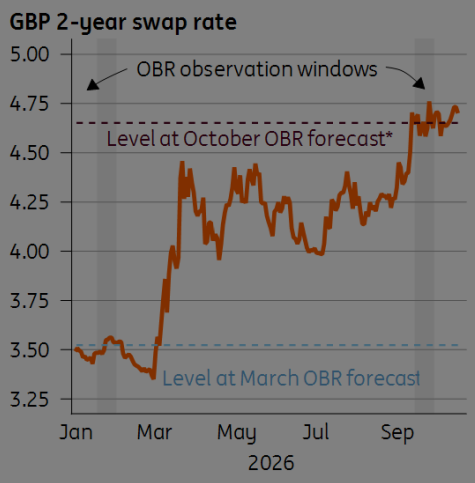
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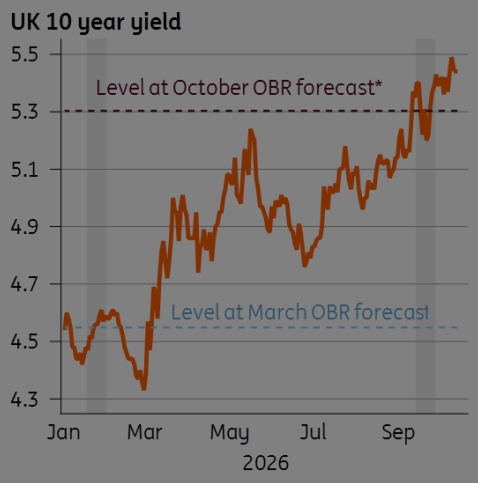
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government has left under its main fiscal rule, which requires the current budget (day-to-day spending, including debt interest less revenue) to be in surplus within three years. Back in March, that surplus, or fiscal headroom, was projected at £24bn in 2029/30.

Debt interest costs are rising





*Based on the average rate in the 10 days up to 25 September, which likely represents the OBR's observation window for this budget

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growth. Will the rise in energy prices spill into higher pay, just as it did in 2022? We think it won't, not least because the jobs market is much weaker, an assessment we suspect the OBR will share.

But even relatively small upgrades to wage growth can make a big difference to the government's fortunes. Since 2010, the OBR has revised the level of earnings across its five-year forecast by an average of 1.3 percentage points in absolute terms. If it did that now, say by lifting wage growth over the next two years by 0.6ppt apiece, it would add £10bn to headroom, almost perfectly offsetting the hit from higher interest costs.

There are also reasons to think the impact of lower migration projections, which some reports suggest could wipe another £7bn off headroom via lower tax revenue forecasts, could be much less than feared. The starting point for employment looks a little higher than it did back in March. The rise in global equities this year should also be helpful for capital gains tax projections.

Why does this all matter? Because the higher the headroom, the less 'need' there is to hike taxes, and if it is significantly higher than expected, the more room there is to increase spending under the fiscal rules.

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substantially smaller real-terms budget increases across the medium term.

Even before the Iran War, government plans pencilled in real-terms cuts to per capita departmental spending in FY2029. Given some functions, like health, are 'protected', that implies much deeper cuts to smaller departments.

Suffice it to say, that is unrealistic. Higher inflation will push up the wage bill across government. It would cost £12bn to simply maintain those March departmental spending plans in real terms. That's before considering the cost of ending that austerity pencilled

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in for later this decade, or how the government will fund its defence or social care ambitions.

A top-up to government departments is inevitable – the question is when. It looks like the Treasury wants to kick the can on these tricky budget decisions until next autumn, when it plans to release its next Spending Review, a process of allocating money across departments. No doubt the hope is that debt interest costs will have fallen and the economic outlook brightened, such that there's more space under the fiscal rules to make bigger spending commitments.

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all these policy changes affect GDP growth and borrowing over the next year. If there's a material stimulus effect, it could add to market bets on UK rate hikes.

3. A manifesto break on income tax

Tax hikes are likely at the Autumn Budget, but should be very small. We're probably looking at a package of circa £5bn (0.2% of GDP). Part of the problem is that the list of viable options looks perilously small if Labour is to avoid breaking its manifesto pledge not to raise

the major taxes, which together account for around 70% of total revenue.

Our best guess is that the budget will include a hike in the Bank Surcharge (raising £2bn if increased from 3% to 8%), together with a broadening of the tax base for National Insurance to landlords and partners in LLPs (together yielding around £2bn/year). Other options, like ending a loophole on stamp duty for commercial property or lowering the VAT threshold for businesses, have also been on the table.

The problem with many of these measures is that they require

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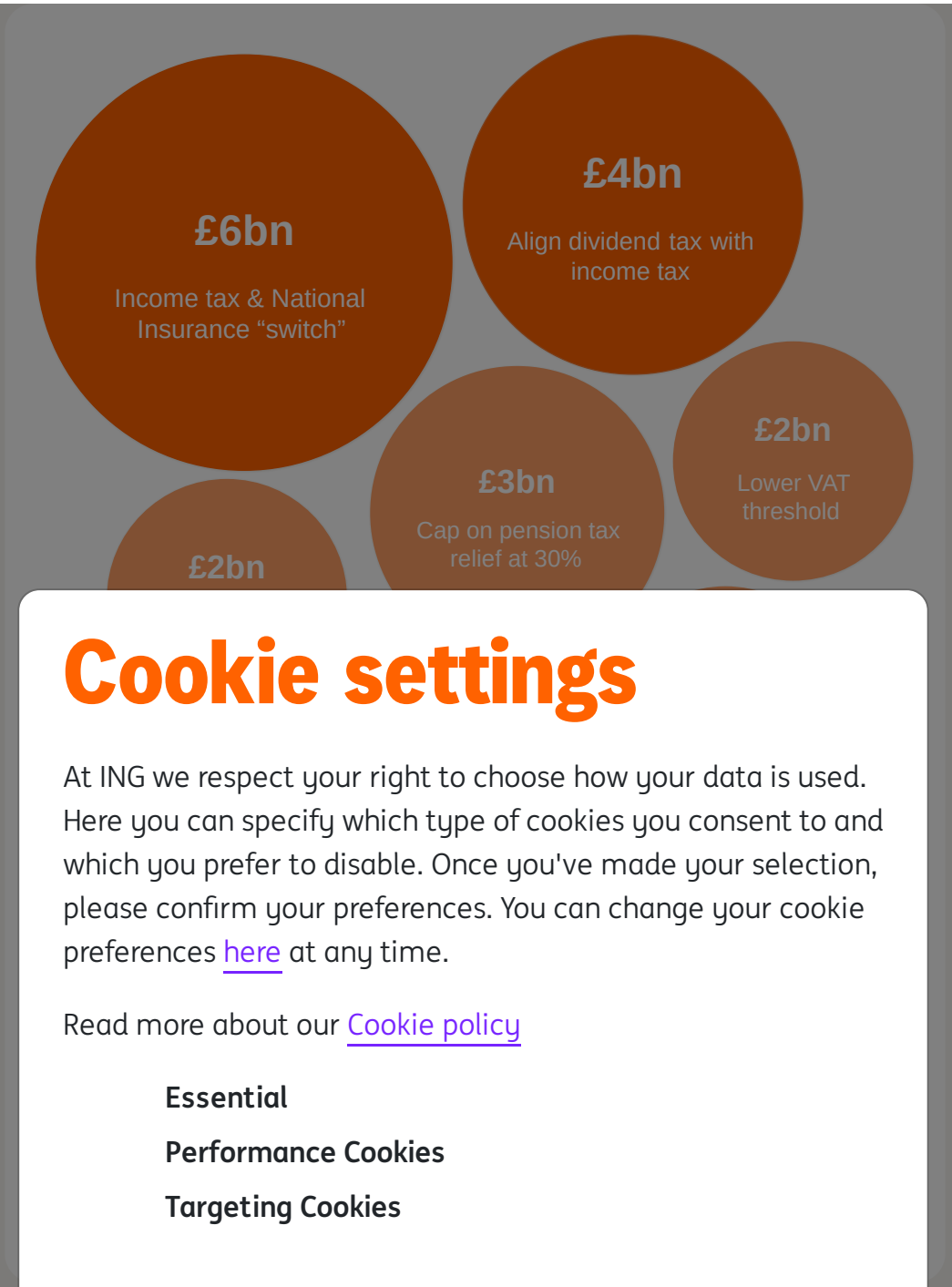
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tax – one good, one bad.

The good? A surprise announcement of a so-called ‘tax switch’, a novel proposal from Resolution Foundation which would see the government simultaneously raise basic income tax and cut employee National Insurance by 2ppt. The impact on workers would be neutral, but because income tax has a broader base (including pensions), this would raise £6bn/year.

Though not a substantial sum, it would signal to investors that Prime Minister Andy Burnham isn’t afraid to go near the thorny issue of raising taxes. But in light of recent pension changes,

including to the infamous ‘triple lock’, this feels like too much of a political gamble at this stage.

The negative surprise would be if the Treasury decided to raise the basic tax allowance. Burnham flirted with this on his first day in office; it would not only be expensive (potentially £10bn), but it would also signal that the UK’s commitment to the threshold freeze – which is doing the lion's share of the planned fiscal consolidation – is waning.

4 A big rise in the National Living Wage

The minimum wage increase in April 2027, which will be

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to be growing recognition among Labour figures, including on the left of the party, that the big minimum wage increases, coupled with previous payroll tax increases, have had a big impact on business – particularly in consumer services.

But if the LPC were to recommend minimum wage growth of close to 5%, could the government resist it? In theory, yes. But politically, we suspect not.

5 A surge in bond issuance

We already know that bond issuance is set to increase again in 2027, though for reasons unrelated to the UK’s fiscal trajectory.

The chart below shows that in April, the Debt Management Office projected a gross financing need of £308bn, similar to the big number in FY2025. We suspect that when we get the updated DMO remit following the budget, next year's issuance could be closer to £325bn – though a greater chunk of that will likely get funded using bills, meaning the actual pick-up in gilt sales relative to those previous plans is likely to be more modest.

How debt issuance plans broke down as of March/April

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borrowing is still likely to be projected to keep falling through the rest of the decade. The major risk – related to some of the things discussed earlier, like larger near-term spending or surprise increases in tax allowances – would jeopardise this fundamental improvement in bond issuance in the medium term. That's something investors wouldn't take kindly to.

United Kingdom | Tax | Budget | Bank of England | Andy Burnham

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